

VEHICLE LOANS - CARS & TWO-WHEELERS

State Bank of India

1. CAR LOAN

Purpose

- Purchase of new cars
- Purchase of used cars (up to 5 years old)
- Refinancing of existing car loans

Loan Amount

- **New cars:** Up to 90% of on-road price (10% margin)
 - **Used cars:** Up to 80% of valuation (20% margin)
 - **Minimum loan:** ₹50,000
 - **Maximum loan:** ₹1 crore (based on income and repayment capacity)
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2. ELIGIBILITY CRITERIA

Age

- **Minimum:** 21 years
- **Maximum:** 65 years at loan maturity
- Co-applicant can enhance eligibility

Income Criteria

- **Salaried:** Minimum monthly income ₹20,000 (₹15,000 in rural areas)
- **Self-employed/Professional:** Minimum annual income ₹2.5 lakhs
- **Business income:** Minimum annual turnover ₹10 lakhs

Employment Stability

- **Salaried:** Minimum 2 years work experience, 6 months with current employer
- **Self-employed:** Minimum 3 years in current business
- **Professionals:** Practice certificate and ITR for 2 years

Credit Score

- Minimum CIBIL score: 750 (preferred)
- Lower scores considered with higher income/collateral
- No active loan defaults

3. INTEREST RATES

New Car Loans (Effective February 2026)

Category	Interest Rate
Salaried (income > ₹50,000/month)	8.50% p.a.
Salaried (income < ₹50,000/month)	8.75% p.a.
Self-employed	9.00% p.a.
Used car (< 3 years old)	9.25% p.a.
Used car (3-5 years old)	9.75% p.a.

Special Rates

- **Women borrowers:** 0.05% concession
- **Existing SBI customers:** 0.10% concession
- **Credit score > 800:** 0.15% concession
- **Defense personnel:** 0.25% concession

Rate Type

- **Floating rate:** Linked to EBLR (External Benchmark Lending Rate)
- **Fixed rate:** Available for up to 3 years at 0.25% premium

4. LOAN TENURE

Vehicle Type	Minimum	Maximum
New car	1 year	7 years
Used car	1 year	5 years

Vehicle Type	Minimum	Maximum
Luxury car (> ₹25 lakhs)	1 year	7 years

Tenure Factors

- Longer tenure = Lower EMI, higher total interest
- Shorter tenure = Higher EMI, lower total interest
- Can prepay to reduce tenure

5. EMI CALCULATION

Formula

$$EMI = [P \times r \times (1+r)^n] / [(1+r)^n - 1]$$

Where:

- P = Principal loan amount
- r = Monthly interest rate (annual rate / 12)
- n = Tenure in months

Example

- **Loan amount:** ₹10,00,000
- **Interest rate:** 8.50% p.a.
- **Tenure:** 5 years (60 months)

$$EMI = ₹20,516 \text{ per month} \quad \textbf{Total payment} = ₹12,30,960 \quad \textbf{Total interest} = ₹2,30,960$$

EMI-to-Income Ratio

- Maximum 50% of gross monthly income
- Includes all existing loan EMIs
- Higher ratio may be rejected

6. FEES & CHARGES

Processing Fee

Loan Amount	Processing Fee
Up to ₹5 lakhs	0.25% of loan amount (Min ₹2,500)
₹5-10 lakhs	0.35% of loan amount
Above ₹10 lakhs	0.50% of loan amount (Max ₹25,000)

Non-refundable: Even if loan is not sanctioned

Other Charges

Service	Charge
Documentation charges	₹1,000-₹3,000 + GST
Valuation charges (used car)	₹500-₹1,500
Legal charges	As per actual
Stamp duty	As per state govt
EMI bounce charges	₹500 + GST
Cheque return charges	₹500 + GST
NOC issuance (after closure)	₹500 + GST
Duplicate loan statement	₹100 per statement
Repayment schedule reprint	₹50

7. PREPAYMENT & FORECLOSURE

Prepayment

- **Partial prepayment:** Minimum ₹10,000 allowed anytime
- **Effect:** Reduces principal, can reduce tenure or EMI
- **Charges:** NIL (for floating rate loans)

Foreclosure (Full Prepayment)

- **Floating rate:** NIL charges
- **Fixed rate:** 3% of outstanding principal (if within 3 years)
- **Notice period:** 7 days notice preferred

Refinancing

- Balance transfer from other banks allowed
 - Processing fee: 0.50% of transfer amount
 - Can avail top-up loan during transfer
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8. DOCUMENTATION

For Salaried Individuals

- Identity proof (Aadhaar/PAN/Passport)
- Address proof (Utility bill/Aadhaar)
- Age proof (Birth certificate/PAN/Passport)
- Salary slips (last 3 months)
- Bank statements (last 6 months)
- Form 16 or ITR (last 2 years)
- Employment certificate/appointment letter
- Quotation/proforma invoice from dealer
- Insurance copy (if buying used car)

For Self-Employed/Businessmen

- Identity, address, age proofs
- Business proof (GST registration/Shop Act license)
- ITR with computation (last 3 years)
- Audited financial statements (last 2 years)
- Bank statements (last 12 months)
- Business vintage proof
- Quotation/proforma invoice

For Used Cars (Additional)

- RC (Registration Certificate) copy
- Insurance copy

- Previous loan NOC (if applicable)
 - Valuation report by bank's approved valuer
 - Fitness certificate
 - Pollution certificate
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9. LOAN DISBURSEMENT

Disbursement Mode

- **New car:** Direct payment to dealer via RTGS/NEFT
- **Used car:** Payment to seller after verification
- **Refinancing:** Payment to previous lender

Disbursement Timeline

- **New car:** 2-4 working days after document submission
- **Used car:** 5-7 working days (includes valuation)

Hypothecation

- Bank's name endorsed on RC as hypothecation
 - RC submitted to bank or held by RTO with bank's lien
 - Released after full loan repayment
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10. INSURANCE REQUIREMENTS

Mandatory Insurance

- **Comprehensive insurance:** Covering vehicle value
- **Validity:** Must be renewed annually
- **Bank as beneficiary:** Bank's name in insurance policy

Optional Add-ons

- Zero depreciation cover
- Engine protection
- Return to invoice (RTI)
- Personal accident cover for owner-driver (mandatory)

Non-renewal Penalty

- Insurance lapse: Loan may be recalled
 - Penalty: 2% p.a. on outstanding till insurance renewed
 - Bank may arrange insurance and recover cost
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11. REPAYMENT OPTIONS

EMI Payment Methods

1. **Auto-debit (ECS/NACH):** From SBI or other bank account
2. **Post-dated cheques:** 12 PDCs covering 1 year
3. **Standing instruction:** From linked account
4. **Online payment:** Net banking/UPI
5. **Branch deposit:** Cash/cheque at branch

EMI Due Date

- Chosen at loan sanction (typically 5th or 15th of month)
- First EMI due 30-45 days after disbursement
- Cannot be changed once set

Default Consequences

- Late payment: EMI bounce charges
 - Delay > 30 days: Negative credit bureau reporting
 - Delay > 90 days: Loan classified as NPA, vehicle may be seized
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12. TOP-UP LOAN

Eligibility

- Existing car loan with SBI (minimum 12 EMIs paid)
- No payment defaults
- Good credit score

Amount

- Up to 90% of current car value minus outstanding loan

- Maximum ₹5 lakhs

Use

- Vehicle maintenance/repair
- Accessories purchase
- Any personal purpose

Terms

- Interest rate: 1% higher than car loan rate
 - Tenure: Remaining car loan tenure
 - Combined EMI charged
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13. TWO-WHEELER LOANS

Eligibility

- Age: 21-65 years
- Income: Minimum ₹10,000/month (salaried), ₹1.5 lakhs/year (self-employed)

Loan Terms

- **Loan amount:** Up to 90% of on-road price
- **Minimum loan:** ₹15,000
- **Maximum loan:** ₹2 lakhs
- **Tenure:** 1-5 years
- **Interest rate:** 10.50%-12.00% p.a.

Processing Fee

- ₹250-₹500 (or 1% of loan amount, whichever higher)
- Maximum ₹2,000

Documents (Simplified)

- ID proof, address proof
- Income proof (salary slip/bank statement for 3 months)
- Quotation from dealer

Disbursement

- Direct payment to dealer
 - Loan sanctioned in 24-48 hours
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14. ELECTRIC VEHICLE (EV) LOANS

Special Benefits

- **Interest rate:** 0.25% lower than regular car loans
- **Loan amount:** Up to 90% of on-road price
- **Subsidy adjustment:** FAME subsidy adjusted in loan calculation
- **Processing fee:** 50% waiver

Eligible Vehicles

- Electric cars
 - Electric two-wheelers
 - Hybrid vehicles (mild/strong hybrid)
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15. SPECIAL SCHEMES

SBI Green Car Loan

- For CNG/hybrid/electric vehicles
- Interest concession: 0.20% p.a.
- Processing fee waiver of 50%

SBI Classic Car Loan

- For vintage/collector cars
- Minimum car age: 15 years
- Loan amount: Up to 60% of valuation
- Interest rate: 11% p.a.
- Tenure: Up to 3 years

Fleet Car Loans (Corporate)

- For businesses buying multiple vehicles

- Minimum 5 vehicles
 - Negotiable rates (8.00%-9.00% p.a.)
 - Simplified documentation
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16. LOAN CLOSURE & NOC

Closure Process

1. Pay final outstanding amount
2. Request NOC (No Objection Certificate)
3. Obtain RC from bank (if held)
4. Visit RTO to remove hypothecation from RC

NOC Issuance

- Issued within 7 working days of closure
- Digital NOC available via DigiLocker
- Physical NOC sent by post

RC Endorsement Removal

- Visit RTO with NOC
 - Submit Form 35 (hypothecation removal)
 - Updated RC issued within 7 days
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17. IMPORTANT TERMS

Penal Interest

- Overdue beyond 30 days: 2% p.a. on overdue amount
- Overdue beyond 90 days: 5% p.a. on overdue amount

Seizure/Repossession

- Bank can seize vehicle after 90 days of default
- Legal notice sent before seizure
- Seized vehicle auctioned to recover dues
- Balance (if any) returned to borrower

Transfer of Ownership

- Not allowed during loan tenure without bank consent
 - Bank charges ₹5,000-₹10,000 for transfer consent
 - New buyer must take over loan or clear outstanding
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18. CUSTOMER SERVICE

Contact

- **Customer care:** 1800-11-2211, 1800-425-3800
- **Email:** autoloans@sbi.co.in
- **Website:** www.sbi.co.in/autoloans
- **Branch:** Visit nearest branch for queries

Grievance Redressal

- Register complaint via customer care or branch
 - Escalate to Circle/Zonal office if unresolved
 - Approach Banking Ombudsman if needed
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19. TAX BENEFITS

Business Use

- Interest paid is tax-deductible as business expense
- Depreciation benefit available
- Consult CA for claiming benefits

Personal Use

- No tax benefits for car loans used for personal purpose
 - Electric vehicle loans may have state-specific benefits
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Disclosure: All terms subject to change. For current interest rates and offers, visit www.sbi.co.in. Loan approval subject to bank's credit policy and document verification.

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